GLOSSARY

Cost	It refers to expenses incurred on production
Revenue	It refers to sales revenue
Explicit Cost	It refers to out of pocket expenses or money cost or accounting costs. They are the payments made to others.
Implicit Cost	The cost imputed for the resources provided by the owner.
Fixed Costs	The costs that remain constant at all levels of output. They do not vary with output.
Variable Cost	The cost that varies with the level of output.
Total Cost	The sum of total fixed cost and total variable costs.
Marginal Cost	The additional cost incurred for producing one more unit of output.
Average Cost	Cost per unit of output produced. It is obtained by dividing total cost by output.
Average Variable Cost	Variable Cost per unit of output is obtained by dividing total variable cost by output.
Average Fixed Cost	Fixed cost per unit of output is obtained by dividing total fixed cost by output.
Average Revenue	Average revenue refers to revenue per unit of output sold. It is obtained by dividing the total revenue by quantity sold.
Marginal Revenue	The additional revenue obtained by selling one more unit of output.

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